



GOVERNANCE INSTRUMENT • CONFIDENTIAL

OPERATING AGREEMENT.

A internal governance document of Music Habitat Corp. — a Montana corporation. Governs the rights and obligations of its shareholders, directors, and officers.

ENTITY

Music Habitat Corp.

STATE OF FORMATION

Montana

GOVERNING LAW

Montana Business Corporation Act

FOUNDER & CEO

Brandon Beard

SHARE CLASSES

Class A • B • C

EFFECTIVE DATE

[_____, 2025]

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ARTICLE I

FORMATION *Organization*

1.1 Corporate Name & Existence

Music Habitat Corp. (the "Company") is a corporation organized under the Montana Business Corporation Act, Mont. Code Ann. § 35-1-101 et seq. (the "Act"). This Operating Agreement (this "Agreement") governs the internal affairs of the Company and the rights and obligations of its shareholders and directors.

1.2 Principal Office & Registered Agent

The Company's principal office shall be located in the State of Montana at such address as the Board of Directors designates. The Company shall maintain a registered agent and registered office in Montana at all times as required by the Act, and shall file any required change of registered agent or office with the Montana Secretary of State.

1.3 Trade Names & Platforms

The Company may conduct business under such trade names or assumed names as the Board may authorize, including but not limited to: **StageBid™** (bid-based booking marketplace); the **StageBid Ticketing & Talent Marketplace** (secure credential management tool for global ticketing platform access); and associated digital EPK, Venue Card, and fan engagement platform names.

1.4 Purpose

The Company's purpose is to develop, operate, and monetize an AI-powered live music SaaS ecosystem connecting fans, independent artists, and venue operators. The Company may engage in any lawful business activity for which a Montana corporation may be organized.

1.5 Fiscal Year & Term

The fiscal year shall end December 31 of each calendar year unless changed by Board resolution. The Company's existence is perpetual unless dissolved pursuant to the Act and this Agreement.



ARTICLE II

CAPITAL STRUCTURE *Share Classes*

2.1 "Three-Class Capital Structure"

The Company is authorized to issue shares in three (3) classes: Class A Founders Shares, Class B Preferred Shares, and Class C Common Shares. All authorized shares, their voting rights, economic rights, and transfer restrictions are governed by this Article II and the Company's Articles of Incorporation.

2.2 Class A — Founders Shares

- **Holder:** Brandon Beard, Founder & CEO, exclusively. Class A shares shall not be issued to any other person without the unanimous written consent of all then-current Class A holders.
- **Voting:** Fifteen votes per share (15:1). Class A and Class B holders vote together as a single class on all matters unless the Act or this Agreement requires a separate class vote.
- **Economics:** Pro-rata participation in dividends and liquidation distributions *pari passu* with Class B shares, after satisfaction of creditor obligations.
- **Transfer:** Non-transferable except by will or intestate succession, or with prior unanimous written consent of all Shareholders.
- **Conversion:** Class A shares convert automatically to Class B upon a Change of Control unless the Class A holder elects otherwise in writing.

2.3 Class B — Preferred Shares

- **Eligible Holders:** Friends & Family round investors upon SAFE conversion; future preferred equity investors as authorized by the Board.
- **Voting:** One vote per share (1:1). Class B holders vote together with Class A holders as a single class on all matters.
- **Economics:** Pro-rata participation in dividends and liquidation distributions *pari passu* with Class A shares. Class B shares shall remain in economic lockstep with Class A shares on all distributions, liquidation proceeds, and economic entitlements. See Section 2.6.
- **Preemptive Rights:** Right to purchase pro-rata portion of any new equity issuance to maintain percentage ownership, subject to standard carve-outs (option pools, conversions, stock splits).
- **Tag-Along:** If any Class A holder proposes to sell shares, Class B holders may participate pro-rata on the same terms.
- **Drag-Along:** If holders of a majority of total voting power approve a sale of the Company, all Class B holders are obligated to participate on the same terms.
- **Dilution:** Class B shares are 100% dilutable in connection with future financings, option pool expansions, and warrant exercises.



2.4 Class C — Common Shares

- Eligible Holders: Employees, service providers, advisors, option pool participants, and future investors as authorized by the Board.
- Voting: None. Class C shares are non-voting in all respects.
- Economics: Pro-rata participation in distributions subordinate to Class A and Class B unless otherwise resolved by the Board.
- Dilution: 100% dilutable; primary vehicle for employee equity compensation.

2.5 Voting Power Summary

CLASS	HOLDERS	VOTES / SHARE	VOTING
Class A	Brandon Beard only	15 : 1	Yes
Class B	F&F / Preferred Investors	1 : 1	Yes
Class C	Employees / Option Pool	None	No

2.6 Pari Passu; Economic Lockstep

Class B Preferred Shares shall at all times remain pari passu with Class A Founders Shares with respect to all economic entitlements, including: (i) any dividends or distributions declared by the Board; (ii) proceeds in any liquidation, dissolution, or winding up; (iii) proceeds in any Change of Control transaction; and (iv) preemptive rights on future equity issuances. "*Pari passu*" means that Class B shares shall participate in such economic events proportionally to their ownership percentage on the same terms and at the same time as Class A shares, without preference or subordination as between the two classes. This provision may not be modified without the affirmative written consent of holders of a majority of outstanding Class B shares.

2.7 Cap Table; Warrants

The Company shall maintain a current capitalization table ("Cap Table") on Carta (carta.com) or equivalent platform, reflecting all issued and outstanding shares, all options, warrants, and convertible instruments, and all reserved shares. The Cap Table shall be made available to all Class B holders upon written request. Friends & Family round investors hold Warrants to purchase up to 3× their SAFE Conversion Shares at 95% of FMV within nine (9) months of Grant Date, governed by individual Warrant Agreements.

2.8 Issuance; Consideration

Shares may be issued for such consideration as the Board determines in good faith, consistent with the Act. No shares shall be issued for less than adequate consideration. The Board shall authorize all issuances by written resolution prior to issuance.



ARTICLE III

BOARD OF *Directors***3.1 Management Authority**

The business and affairs of the Company shall be managed by or under the direction of the Board of Directors (the "Board"), which shall have full authority to act on behalf of the Company except for matters expressly reserved to the Shareholders by the Act or this Agreement.

3.2 Initial Composition; Initial Director

The Board shall initially consist of one (1) director. The initial director is **Brandon Beard, Founder and CEO**. The number of directors may be changed by Board resolution or Shareholder vote, provided the Board always has at least one (1) director.

3.3 Election, Term & Removal

Directors are elected by Class A and Class B holders voting together as a single class (15:1 and 1:1 respectively). Directors serve until their successor is elected, or until earlier resignation, removal, or death. Directors may be removed with or without cause by majority voting power; provided that Brandon Beard may not be removed so long as any Class A shares remain outstanding without his written consent.

3.4 Meetings; Quorum; Written Consent

The Board shall hold regular meetings as it determines. Special meetings require 48 hours' notice. Meetings may be held in person or by electronic means. A majority of directors constitutes a quorum; action requires a majority of directors present at a quorum-present meeting. Any Board action may be taken without a meeting by unanimous written consent of all directors, which shall be filed with Company minutes.

3.5 Committees

The Board may establish committees including an **Investor Advisory Committee** (with one (1) reserved seat for a Tier 3 Circle 35 investor in a non-binding advisory capacity), an Audit Committee, and a Compensation Committee. Committee authority is delegated by the Board and subject to the Act.

3.6 Fiduciary Duties; Conflicts of Interest

Directors owe the Company and its Shareholders duties of care and loyalty under Montana law. Any director with a material interest in a transaction before the Board shall disclose such interest and recuse from the vote on such transaction. The Company may indemnify directors and officers to the maximum extent permitted by the Act.



ARTICLE IV

Officers

4.1 Initial officer

The initial officer of the Company is **Brandon Beard, Chief Executive Officer**. The Board may appoint additional officers including President, CFO, COO, Secretary, and Treasurer at any time. Any two or more offices may be held by the same person.

4.2 CEO Authority

The CEO shall have general supervision, direction, and control of the Company's business and affairs subject to Board direction. The CEO has authority to execute all contracts, agreements, deeds, and other instruments on behalf of the Company in the ordinary course of business, and shall have such other powers as the Board prescribes.

4.3 Appointment; Removal; Compensation

Officers are appointed by and serve at the pleasure of the Board, which may remove any officer at any time with or without cause. Officer compensation is determined by Board resolution; no officer-director may vote on their own compensation.



5.3 Information Rights (Class B)

Class B holders shall receive: (i) unaudited quarterly financials within 45 days of quarter-end; (ii) unaudited annual financials within 90 days of year-end; and (iii) notice of any material transaction or change in capital structure within 10 business days of such event. Class B holders may inspect Company books and records upon 10 days' written notice for a proper purpose during normal business hours.

5.4 Preemptive Rights (Class B)

Prior to any new equity issuance (excluding option pool grants, conversions, and stock splits), the Company shall provide written notice to all Class B holders. Each Class B holder shall have fifteen (15) days to elect to purchase its pro-rata share of the new issuance at the offered price and terms. Failure to respond within 15 days constitutes a waiver for that issuance only.

5.5 Tag-Along Rights (Class B)

If any Class A holder proposes to transfer shares to a third party (other than a Permitted Transfer), each Class B holder shall have the right to include in such transfer a pro-rata portion of its Class B shares on the same price and terms. The transferring Class A holder shall provide Class B holders at least twenty (20) days' written notice of the proposed transfer, including price, terms, and identity of the proposed transferee.

5.6 Drag-Along Rights

If holders of a majority of total voting power approve a bona fide arm's-length Change of Control transaction, all remaining Shareholders shall be obligated to vote in favor of and participate in such transaction on the same terms. The drag-along obligation shall not require any Shareholder to make representations or warranties beyond title to their own shares.

5.7 Right of First Refusal (ROFR)

Before any Shareholder may transfer shares to any third party (other than a Permitted Transfer), such Shareholder (the "Selling Shareholder") shall first offer such shares to the Company, and then (if the Company declines) to the other Shareholders pro-rata, at the same price and on the same terms as proposed to the third party. The Company shall have fifteen (15) days and the other Shareholders shall have an additional fifteen (15) days to exercise their ROFR. If neither exercises, the Selling Shareholder may complete the transfer on terms no more favorable to the buyer than offered internally.

5.8 Permitted Transfers

Notwithstanding the transfer restrictions herein, a Shareholder may transfer shares without triggering ROFR or Tag-Along rights in the following circumstances ("Permitted Transfers"): (i) transfers by a Shareholder who is a natural person to a revocable living trust for estate planning purposes where such Shareholder retains sole control; (ii) transfers by will or intestate succession upon death; (iii) in the case of Class B shares, transfers approved in advance in writing by the Board. All transferees in a Permitted Transfer shall be bound by and agree in writing to this Agreement as a condition of such transfer.



ARTICLE VI

FINANCIAL *Matters*

6.1 Books & Records

The Company shall maintain accurate books of account and corporate records at its principal office or such other location as the Board designates. The Company shall maintain: (i) its Articles of Incorporation and all amendments; (ii) this Operating Agreement and all amendments; (iii) minutes of all Board and Shareholder meetings and written consents; (iv) the Cap Table and all share issuance records; and (v) financial statements for the most recent three (3) fiscal years.

6.2 Banking; Accounts

The Company shall maintain one or more bank accounts in the name of the Company at such financial institutions as the Board designates. All funds of the Company shall be deposited in Company accounts and shall not be commingled with personal funds of any officer, director, or Shareholder. Checks, drafts, and other withdrawals shall require the signature of such authorized persons as the Board designates by resolution.

6.3 Distributions

The Board may declare and authorize distributions to Shareholders out of legally available funds, consistent with the Act and subject to the pari passu provisions of Section 2.6. No distribution shall be made that would render the Company unable to pay its debts as they become due in the ordinary course, or that would cause the Company's total assets to be less than its total liabilities. Distributions to Class A and Class B holders shall be made pro-rata on a pari passu basis; distributions to Class C holders are subordinate.



7.2 Matters Requiring Class B Majority Consent

The following actions shall require the affirmative written consent of holders of a majority of outstanding Class B shares, in addition to any other approval required:

- Any modification to the pari passu obligation set forth in Section 2.6;
- Any amendment to the rights, preferences, or privileges of Class B shares that adversely affects Class B holders;
- Issuance of Class A shares to any person other than Brandon Beard;
- Any liquidation, dissolution, or Change of Control that would result in Class B holders receiving consideration materially different from Class A holders on a per-share basis.

7.3 Founder Protective Provisions

So long as Brandon Beard holds any Class A shares, the following shall require his written consent: (i) removal of Brandon Beard from the Board of Directors; (ii) removal of Brandon Beard as Chief Executive Officer other than for Cause (defined as conviction of a felony, gross negligence, or willful misconduct materially harmful to the Company); (iii) any reduction in Brandon Beard's compensation below a mutually agreed floor; and (iv) any amendment to this Section 7.3.



ARTICLE IX

DISSOLUTION F *Winding Up*

9.1 Events of Dissolution

The Company shall be dissolved upon: (i) approval of dissolution by Shareholders holding a majority of total voting power; (ii) entry of a decree of judicial dissolution under the Act; or (iii) administrative dissolution by the Montana Secretary of State for failure to comply with the Act.

9.2 Winding Up

Upon dissolution, the Board (or a court-appointed liquidator) shall wind up the Company's affairs by: (i) completing any unfinished business; (ii) collecting all amounts owed to the Company; (iii) paying or providing for all debts, liabilities, and obligations of the Company; and (iv) distributing remaining assets to Shareholders in accordance with Section 9.3.

9.3 Liquidating Distributions

After paying or adequately providing for all Company debts and liabilities, remaining assets shall be distributed in the following order: (i) to creditors, including Shareholders who are creditors; (ii) to Class A and Class B shareholders pro-rata on a pari passu basis according to their respective ownership percentages; (iii) to Class C shareholders pro-rata. No distribution in liquidation shall be made to any class until all prior-priority classes have been paid in full.



10.3 Amendment

This Agreement may be amended only by a written instrument signed by: (i) the holder(s) of all outstanding Class A shares; and (ii) holders of a majority of outstanding Class B shares; provided that any amendment that adversely affects the rights of Class B holders shall require the consent specified in Section 7.2.

10.4 Entire Agreement

This Agreement, together with the Articles of Incorporation, the SAFE Subscription Agreements, Warrant Agreements, Stockholders' Agreement, and Stock Purchase / Transfer Agreement, constitutes the entire agreement of the parties with respect to the subject matter hereof and supersedes all prior negotiations and understandings.

10.5 Severability

If any provision of this Agreement is held invalid or unenforceable, such provision shall be modified to the minimum extent necessary to make it enforceable, and the remaining provisions shall remain in full force and effect.

10.6 Counterparts; Electronic Signatures

This Agreement may be executed in counterparts. Electronic signatures (DocuSign, Adobe Sign, Carta) shall be deemed original signatures and shall be fully binding.

10.7 Notices

All notices shall be in writing and delivered by email (with delivery confirmation) or overnight courier to the party's address on the Company's records. Notice is effective upon confirmed delivery.



SIGNATURE PAGE

IN WITNESS WHEREOF, the undersigned have executed this Operating Agreement as of the Effective Date set forth above, and acknowledge that the rights and obligations herein are binding upon them, their successors, and permitted assigns.

COMPANY

ENTITY

Music Habitat Corp.

BY

NAME

Brandon Beard

TITLE

Founder & CEO

DATE

EMAIL

SHAREHOLDER

NAME

SIGNATURE

SHARE CLASS

DATE

EMAIL

ADDRESS